

OLD REGIME V/S NEW REGIME

Now we need to choose between the old regime and the new regime. This decision mainly depends on the level of difficulty for us to switch and the binding assets we have. So, up until today, we were following the old tax regime. We will have home loans and education loans going on. We will have assets tied up in PPF investments that we need to continue. We will have ongoing insurance plans and so on. These commitments from our end are binding and they will continue with us for years to come irrespective of the tax regime that we follow. These commitments that bind us for years to come are called binding instruments.

If we have a very high amount in binding instruments, we will have to stick to the older regime. If the number of binding instruments is not very high, we can go ahead with the newer regime. In most cases, the older regime is the one that we will have to stick to.

The newer regime only makes sense for those with fresh slates and just starting on their careers. It would be in our best interest to consult an expert about old regime vs new regime. For most people, the old regime will make more sense due to the backlog of binding instruments that they are carrying.

If we plan to go ahead with the newer regime, we can skip the entire tax deductions part in the Lazy Plan stage as the new regime offers none of those benefits. It simplifies the process as no tax implications are to be understood. Only completely exempt assets can be used for benefit in the newer regime. However, when creating a Lazy Plan, always and always focus on meeting the financial goals properly rather than trying to squeeze out every ounce of the tax benefit by investing accordingly. Our primary goal is not to save maximum taxes, but to meet our financial goals.

